

Contractor Scam Protection Guide — Action Checklist

PRINT THIS PAGE AND KEEP IT SOMEWHERE VISIBLE

VERIFY BEFORE SIGNING

- ☐ **Search your state's Contractors State License Board website using the license number the contractor provides to verify their license is active, current, and matches the name on your contract.:** Search your state's Contractors State License Board website using the license number the contractor provides to verify their license is active, current, and matches the name on your contract.
- ☐ **Request a Certificate of Insurance directly from the contractor's insurer and verify that their general liability policy holds at least \$1 million in coverage.:** Request a Certificate of Insurance directly from the contractor's insurer and verify that their general liability policy holds at least \$1 million in coverage.
- ☐ **Contact your Secretary of State or county clerk to confirm the contractor's business is registered, how long they've operated, and who the registered agent is.:** Contact your Secretary of State or county clerk to confirm the contractor's business is registered, how long they've operated, and who the registered agent is.
- ☐ **Before signing anything, confirm the license holder's name matches the business name on the contract exactly, since scammers frequently use names very similar to legitimate firms.:** Before signing anything, confirm the license holder's name matches the business name on the contract exactly, since scammers frequently use names very similar to legitimate firms.

PROTECT EVERY PAYMENT

- ☐ **Never pay more than one-third of the total project cost upfront, regardless of how eager the contractor is to begin work immediately.:** Never pay more than one-third of the total project cost upfront, regardless of how eager the contractor is to begin work immediately.
 - ☐ **Insist on paying by check, credit card, or a protected payment platform and never pay in cash, since cash offers no fraud protection or documentation trail.:** Insist on paying by check, credit card, or a protected payment platform and never pay in cash, since cash offers no fraud protection or documentation trail.
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- **Hold the final one-third of payment until project completion and your written sign-off, with the middle third paid only after you physically verify meaningful progress at the project midpoint.:** Hold the final one-third of payment until project completion and your written sign-off, with the middle third paid only after you physically verify meaningful progress at the project midpoint.
- **Require a lien waiver clause in your contract to protect yourself from subcontractors placing liens on your home if the contractor fails to pay their suppliers or workers.:** Require a lien waiver clause in your contract to protect yourself from subcontractors placing liens on your home if the contractor fails to pay their suppliers or workers.

LOCK DOWN YOUR CONTRACT

- **Include a detailed scope of work in your contract that specifies all materials, brands, and quantities, so you have documented proof of exactly what was promised.:** Include a detailed scope of work in your contract that specifies all materials, brands, and quantities, so you have documented proof of exactly what was promised.
- **Add concrete start and completion dates to your contract instead of vague timelines like "as soon as possible," since dated milestones trigger your right to terminate.:** Add concrete start and completion dates to your contract instead of vague timelines like "as soon as possible," since dated milestones trigger your right to terminate.
- **Document the change order process in your contract requiring that any extra work or charges must be pre-approved and added to the contract in writing before additional work begins.:** Document the change order process in your contract requiring that any extra work or charges must be pre-approved and added to the contract in writing before additional work begins.
- **Refuse to sign any waiver that releases the contractor from liability, since these documents eliminate your legal recourse if the work is defective or incomplete.:** Refuse to sign any waiver that releases the contractor from liability, since these documents eliminate your legal recourse if the work is defective or incomplete.